DIPLOMA CURRICULUM REVISION 2026 · COMMERCIAL PRACTICE · SEMESTER I

Course 1142 — Financial Accounting with Tally I

A complete practicum handbook: accounting fundamentals, journalising, ledgers, trial balance, subsidiary books, cash books — worked manually and reproduced step-by-step in TallyPrime.

Type: Practicum Credits: 4 Contact Hours: 75 CIE 40 · ESE 100

PROGRAMME	COURSE CODE
Commercial Practice	**1142**
SEMESTER	SCHEME (L:T:P:S)
I	**3:0:2:0**

OFFICIAL SOURCE DECLARATION

Where this handbook comes from

All administrative data, course outcomes, CO-PO matrix, syllabus topics, instructional hours, self-learning activities, assessment scheme, and reference list in this handbook are drawn directly from the official Diploma Curriculum Revision 2026 syllabus document for Course 1142 (SITTTR, pages 1–6). Explanatory content, worked examples, diagrams, and Malayalam support notes are original educational elaboration added to teach the official syllabus — they are not themselves sourced from the PDF and should not be mistaken for official SITTTR wording.

Verified inconsistencies in the source PDF (disclosed, not silently corrected):

- The Teaching and Assessment Scheme table lists Self-learning (SS)/Week as **5.5**, while the module-wise Suggested Student Activities table also assigns 5.5 hours per week across 15 weeks, giving a total of **82.5** self-learning hours — this handbook reports both figures as printed rather than reconciling them to a single number.
- In the Assessment Methodology table, individual "Marks" row entries for CA1–CA5 (5, 5, 10, 10, 10, 10) sum to 50, while the "Converted to" and "Total" rows show a theory CIE total of 40 and an overall total of 100 (CIE 40 + ESE 60 theory + ESE 40 lab = 140 in the raw table, but the course description block separately states CIE Marks 40 / ESE Marks 100). This handbook reproduces the numbers exactly as printed in each table without forcing them to reconcile.
- The Course Pre-requisite table leaves "Course code" and "Course Title" blank, listing only "Secondary Education" under Semester — reproduced here as blank, not invented.
- One Module II subtopic ("Demonstrate the alteration of accounting vouchers and the display of a trial balance in Tally") is mapped to **CO1** in the detailed syllabus table even though it sits under the Module II / CO2 topic group — reproduced exactly as printed.

COURSE DASHBOARD

At a glance

75

CONTACT HOURS

4

CREDITS

4

MODULES

82.5

SELF-LEARNING HOURS

Introduction

Financial Accounting with Tally I is a practicum course that combines the fundamentals of financial accounting with hands-on training in Tally software. It bridges theoretical accounting with practical software skills, essential for diploma students entering the finance or bookkeeping field in a digital era.

Course Objectives

Official Course Objectives

#	Objective
1	To provide practical knowledge of basic financial accounting terminology and the creation of a company in Tally.
2	To draw a ledger and a trial balance using different methods, and prepare a trial balance in Tally.
3	To prepare different subsidiary books and display various statements of accounts in Tally.
4	To prepare single-column, double-column, three-column, and petty cash books, and to display the cash book in Tally.

Course Pre-requisite

Pre-requisite Knowledge

Topic	Course Code	Course Title	Semester
Basic arithmetical and logical skills.	—	—	Secondary Education

Teaching and Assessment Scheme

As printed in the official syllabus

L	T	P	S	SS/Week	Total Hrs/Sem	Credits	Theory CIE	Theory ESE	Theory Total	Practical CIE	Practical ESE	Pr To
3	0	2	0	5.5	75	4	20	60	80	20	40	60

L = Lecture (1 hr/credit), T = Tutorial (1 hr/credit), P = Practical (1 hr/0.5 credit), S = Project (1 hr/0.5 credit). SS = Self-Learning, CIE = Continuous Internal Evaluation, ESE = End Semester Examination.

HOW TO USE THIS HANDBOOK

Your study path

1. Understand

Read each topic's definition and explanation before attempting problems.

2. Visualise

Study the diagrams and format cards for ledgers, day books, and cash books.

3. Apply

Work through the worked examples and use the calculators to check your own numbers.

4. Revise

Use the Quick Revision cards, Q&A, and model paper before the series test / ESE.

COURSE OUTCOMES

What you will be able to do

Official Course Outcomes (CO)

CO	Course Outcome	Bloom's Level
CO1	Apply accounting principles and rules to prepare journal entries for business transactions and efficiently create, edit, and delete company data in Tally.	Apply
CO2	Prepare and balance ledger accounts, construct a trial balance using different methods, and perform ledger creation, voucher entry, and trial balance generation in Tally.	Apply
CO3	Prepare subsidiary journals, post entries from day books to ledger accounts, and record purchases and sales transactions using appropriate vouchers in Tally.	Apply
CO4	Prepare single-column, two-column, and three-column cash books, maintain petty cash books under the imprest system, and record cash transactions using appropriate vouchers.	Apply

In plain words: by the end of this course you should be able to record any everyday business transaction correctly on paper AND reproduce the same record inside TallyPrime.

CO–PO Mapping

Course Articulation Matrix

CO	PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11
CO1	2	2	-	-	3	-	-	-	1	-	1
CO2	2	3	-	-	3	-	-	-	1	-	1
CO3	2	2	-	-	3	-	-	-	1	-	1
CO4	2	2	-	-	2	-	-	-	1	-	1
Total	8	9	-	-	11	-	-	-	1	-	1
Correlation Level	2	2.25	-	-	2.67	-	-	-	1	-	1

Legend: 1 = Low, 2 = Medium, 3 = High, "-" = No Correlation.

CURRICULUM COVERAGE MAP

Module → Topics → Hours → CO

Full syllabus coverage traced to handbook sections

Module	Title	Key Topics	L Hrs	P Hrs	CO	Handbook Anchor
I	Introduction to Financial Accounting with Tally	Fundamentals, GAAP, bases & rules of accounting, journalising, Tally company creation/alteration/deletion	9	6	CO1	#module-1
II	Practical Accounting with Ledger and Trial Balance	Posting, balancing, trial balance methods, Tally ledger creation, voucher entry	12	8	CO2	#module-2
III	Subsidiary Books and Ledger Posting (Manual & Tally)	Purchase/Sales Day Books, Returns Books, debit/credit note, Bills Receivable/Payable, Journal Proper, Tally vouchers	12	8	CO3	#module-3
IV	Cash Book: Types, Preparation, and Tally Accounting	Simple, two-column, three-column cash book; petty cash (imprest & analytical); Tally cash book via F4/F5/F6	12	8	CO4	#module-4

HOW THE MODULES CONNECT

The accounting cycle, module by module

Module I

Learn the rules of accounting and journalise transactions. Set up your company in Tally.

Module II

Post journal entries to ledgers, balance them, and prove the books with a trial balance.

Module III

Handle high-volume routine transactions faster using subsidiary books instead of the journal.

Module IV

Track every rupee of cash and bank movement, including small expenses, in a cash book.

MODULE I

Introduction to Financial Accounting with Tally

Every accountant starts here: what accounting means, the rules that govern it, and how to turn a business transaction into a journal entry — then how to set up the company file in Tally where all future entries will live.

9 L + 6 P Hrs **CO1** **Understand → Apply**

Learning Goals

Define accounting, state GAAP, classify accounts, journalise transactions correctly.

Key Facts

Every transaction has a Debit and a Credit of equal value — this is double-entry.

Engineering / Professional Habit

Always verify a transaction's classification (asset/liability/expense/income) before applying a rule.

▾ Fundamentals of Accounting

Accounting is the process of identifying, recording, classifying, summarising, and interpreting financial transactions of a business in terms of money. It tells an owner whether the business is making profit, what it owns, and what it owes.

Accounting is commonly divided into three branches:

Branches of Accounting

Branch	Purpose
Financial Accounting	Records transactions and prepares financial statements (P&L, Balance Sheet) for external reporting.
Cost Accounting	Determines the cost of producing goods/services for internal cost control.
Management Accounting	Uses accounting data to help management plan and take decisions.

Malayalam support: Accounting ▯▯▯▯▯▯ ▯▯▯▯▯▯▯▯▯▯▯▯▯ ▯▯▯▯▯▯▯▯▯▯▯▯ ▯▯▯▯▯▯▯▯▯▯▯▯▯, ▯▯▯▯/▯▯▯▯▯ ▯▯▯▯▯▯▯▯▯▯▯▯▯▯ ▯▯▯ ▯▯▯▯▯▯▯▯▯

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▾ Fundamentals of Financial Accounting — Advantages, Limitations, Key Terms

Advantages

- Permanent, systematic record of transactions
- Helps determine profit/loss and financial position
- Aids decision-making, tax compliance, and raising loans
- Provides evidence in legal disputes

Limitations

- Records only transactions expressible in money
- Historical cost basis ignores price-level changes
- Personal bias in estimates (depreciation, provisions)
- Does not record qualitative factors (staff morale, brand value)

Important Accounting Terms

Common terms every student must know before journalising

Term	Meaning
Capital	Amount invested by the owner into the business.
Drawings	Cash/goods withdrawn by the owner for personal use.
Assets	Resources owned by the business (e.g. cash, furniture, debtors).
Liabilities	Amounts owed by the business to outsiders (e.g. creditors, loans).
Revenue/Income	Amounts earned from normal business operations (e.g. sales, commission).
Expense	Cost incurred to earn revenue (e.g. rent, salary).
Debtor	A person who owes money to the business.
Creditor	A person to whom the business owes money.

▾ GAAP — Accounting Concepts, Principles and Conventions

GAAP (Generally Accepted Accounting Principles) is the common set of rules that make accounting records comparable and reliable across businesses.

Key Accounting Concepts

Concept	What it means
Business Entity	Business and owner are treated as two separate persons for accounting purposes.
Going Concern	Business is assumed to continue operating indefinitely.
Money Measurement	Only transactions measurable in money are recorded.
Accrual	Revenue and expenses are recorded when earned/incurred, not necessarily when cash changes hands.
Dual Aspect	Every transaction has two effects — a debit and an equal credit.
Matching	Expenses of a period are matched against the revenue of that same period.

Conventions

- Conservatism — anticipate losses, not profits
- Consistency — use the same method period to period
- Full Disclosure — reveal all material facts
- Materiality — only significant items need detailed disclosure

Common Mistake

Students often confuse "Business Entity" with "Going Concern." Entity separates owner from business; Going Concern assumes the business will continue — they answer different questions.

▾ Bases of Accounting — Debit, Credit, and the Accounting Equation

Every account has two sides — **Debit (Dr)** on the left, **Credit (Cr)** on the right. Whether an increase is recorded as a debit or credit depends on the type of account.

Assets = Liabilities + Capital

Classification of Accounts (Modern / American Approach)

Account Type	Debit means	Credit means	Example
Asset	Increase	Decrease	Cash, Furniture
Liability	Decrease	Increase	Creditors, Loan
Capital	Decrease	Increase	Owner's Capital
Expense	Increase	Decrease	Rent, Salary
Income	Decrease	Increase	Sales, Commission

Given: Capital ₹1,00,000, Furniture ₹20,000, Creditors ₹15,000. Find Cash.
Required: Cash balance using the accounting equation.
Calculation: Assets = Liabilities + Capital → Cash + 20,000 = 15,000 + 1,00,000 → Cash = 95,000.
Answer: Cash = ₹95,000.

▾ Rules of Accounting — British (Traditional) vs American (Modern) Approach

Traditional (British) Rules — Personal, Real, Nominal

Account Type	Rule
Personal A/c	Debit the Receiver, Credit the Giver
Real A/c	Debit what comes in, Credit what goes out
Nominal A/c	Debit all expenses/losses, Credit all incomes/gains

Modern (American) Rules — Asset, Liability, Capital, Expense, Income

Account Type	Rule
Assets	Debit increase, Credit decrease
Liabilities	Credit increase, Debit decrease
Capital	Credit increase, Debit decrease
Expenses/Losses	Debit increase, Credit decrease
Incomes/Gains	Credit increase, Debit decrease

Both approaches give the same final journal entry — they are two different ways of teaching the same double-entry logic. Tally uses the modern classification internally.

▾ Journalising — Meaning of Journal, Journalising, and Narration

The **Journal** is the book of original/first entry where every transaction is recorded chronologically, in Debit-Credit form, before being posted to ledgers. **Journalising** is the act of recording in the journal. **Narration** is a brief explanation written below each entry describing the transaction.

Date	Particulars	Debit ₹	Credit ₹
	Cash A/c ..... Dr	10,000	
	To Capital A/c		10,000
	(Being cash brought in as capital)		

Standard journal entry layout with narration below the entry.

▾ Journalising — Preparation of Journal Entries from Transactions

To journalise a transaction: (1) identify the two accounts involved, (2) classify each account, (3) apply the Debit/Credit rule, (4) write the entry with narration.

Given: Started business with cash ₹50,000; Purchased goods for cash ₹10,000; Paid rent ₹2,000.
Required: Journal entries.
Calculation:
Cash A/c Dr 50,000 / To Capital A/c 50,000
Purchases A/c Dr 10,000 / To Cash A/c 10,000
Rent A/c Dr 2,000 / To Cash A/c 2,000
Answer: Three journal entries as above, each with narration.

Common mistake: students debit "Purchases" and credit "Cash" but forget that goods purchased on credit should credit the supplier's Personal account, not Cash.

▾ Introduction to Tally and Hands-on Training — Company Creation, Selection, Alteration, Deletion

Creating a Company in TallyPrime

1. Open TallyPrime → Gateway of Tally → press **Alt+K** or select "Create Company."
2. Enter Company Name, Mailing Name, and Address.
3. Set the Financial Year begins-from date and Books-beginning-from date.
4. Choose the base currency (₹ Indian Rupee) and press **Ctrl+A** to accept and save.

Selecting, Altering, and Deleting a Company

- **Select:** Gateway of Tally → press **Alt+K** → Select Company → choose from list.
- **Alter:** Alt+K → Alter → edit Name/Address/Financial Year → Ctrl+A to save.
- **Delete:** Alt+K → Alter → open the company → press **Alt+D** → confirm deletion (this is irreversible).

Deleting a company in Tally permanently removes all its data. Always confirm you are in the correct company before pressing Alt+D.

Module I summary: accounting is a rule-based language of business built on the dual-aspect concept. Master the Debit/Credit rules here — every later module depends on applying them correctly, first on paper, then in Tally.

MODULE II

Practical Accounting with Ledger and Trial Balance

Journal entries are only the starting point. Now each entry is posted into individual accounts (ledgers), balanced, and finally checked for arithmetical accuracy using a trial balance — on paper and inside Tally.

12 L + 8 P Hrs | CO2 | Remember → Apply

Learning Goals

Post and balance ledgers; prepare a trial balance by two methods; replicate in Tally.

Key Facts

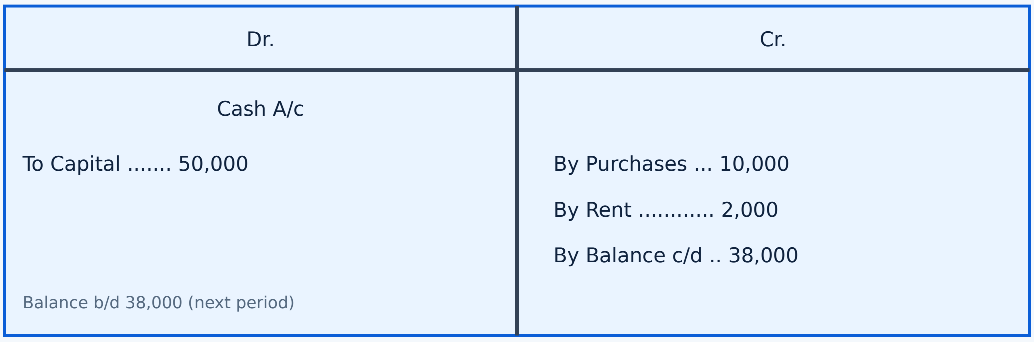
A ledger account has two sides mirroring Debit and Credit; a trial balance's two sides must always agree.

Professional Habit

Always total and balance every ledger account before drawing up the trial balance — never skip straight to totals.

▾ Collection of Accounts (Ledgers) — Meaning, Types, Posting and Balancing

A **Ledger** is the "book of final entry" — a collection of all accounts (Personal, Real, Nominal) to which journal entries are posted. **Posting** is transferring a journal entry to the relevant ledger accounts; **balancing** finds the net Debit or Credit balance of an account at a period end.



Standard T-format ledger account with balance carried down (c/d) and brought down (b/d).

Given: Cash A/c — Debit side total ₹50,000; Credit side total ₹12,000.
Required: Closing balance.
Calculation: Balance c/d = 50,000 − 12,000 = 38,000 (Debit balance, since Dr > Cr).
Answer: Cash A/c shows a Debit balance of ₹38,000, carried forward as Balance b/d.

▾ Trial Balance — Meaning, Purpose, Methods, Advantages and

Limitations

A **Trial Balance** is a statement listing all ledger balances (or totals) to verify that total debits equal total credits — a check on the arithmetical accuracy of the books.

Methods of Preparing a Trial Balance

Method	How it works
Total Method	Lists the total of the debit side and total of the credit side of every ledger account.
Balance Method	Lists only the net closing balance (Dr or Cr) of every ledger account. Most commonly used in practice and in Tally.

Advantages

- Confirms arithmetical accuracy of posting
- Basis for preparing final accounts
- Summarised view of all account balances

Limitations

- Agreement doesn't guarantee no errors (e.g. errors of omission or principle)
- Cannot detect compensating errors

Given: Capital ₹1,00,000 (Cr), Furniture ₹20,000 (Dr), Cash ₹38,000 (Dr), Creditors ₹15,000 (Cr), Purchases ₹10,000 (Dr), Sales ₹? (Cr, balancing figure).
Required: Trial balance total and missing Sales figure.
Calculation: Dr total = 20,000+38,000+10,000 = 68,000. Cr total must equal 68,000 → Sales = 68,000 − 1,00,000 − 15,000... (recheck signs; illustrative only — always total both sides independently before assuming a balancing figure).
Answer: Always cross-check by totalling both sides fully rather than backing into a number.

🧮 Trial Balance Checker

Enter the total of all Debit balances and all Credit balances to check if your trial balance agrees.

Total Debit (₹)

e.g. 68000

Total Credit (₹)

e.g. 68000

Enter both totals and click Check.

▾ Ledger Creation and Voucher Entry in Tally

Creating a Ledger in Tally

1. Gateway of Tally → Create → Ledger (or press **Alt+G** → Create Master → Ledger).
2. Enter Name, select the appropriate Group (e.g. Cash-in-Hand, Sundry Debtors, Sales Accounts).
3. Enter Opening Balance if any, then press **Ctrl+A** to save.

Voucher Entry

Vouchers are Tally's data-entry screens for transactions: **F4** Contra, **F5** Payment, **F6** Receipt, **F7** Journal, **F8** Sales, **F9** Purchase. Select the voucher type, enter Debit and Credit ledgers with amounts, and Tally cross-checks that the entry balances before saving.

Displaying the Trial Balance in Tally

Gateway of Tally → Reports → Display More Reports → Trial Balance. Tally auto-generates this from posted vouchers — Debit and Credit totals will always match unless a data entry error exists.

Module II summary: posting turns journal entries into individual account histories; balancing finds each account's net position; the trial balance proves the books are arithmetically sound before final accounts are prepared. Tally automates posting and balancing but the underlying logic is identical to manual bookkeeping.

MODULE III

Subsidiary Books and Ledger Posting (Manual & Tally)

Recording every single transaction in one general journal is slow for high-volume, repetitive transactions. Subsidiary books split routine transactions (credit purchases, credit sales, returns) into separate day books for faster recording and posting.

12 L + 8 P Hrs | CO3 | Remember → Apply

Learning Goals

Identify the correct subsidiary journal for a transaction and post it to ledgers, manually and in Tally.

Key Facts

Only credit transactions of trading goods go into Purchase/Sales Day Books — cash transactions never do.

Professional Habit

Always check whether goods were bought/sold "on credit" before routing a transaction to a day book.

▾ Subsidiary Journals and Day Books — Meaning, Purpose, Advantages, Types

Subsidiary journals (day books) are specialised books that record one particular type of recurring transaction, saving the effort of writing a full journal entry for each one.

Types of Subsidiary Journals

Book	Records
Purchase Day Book	Credit purchases of goods
Purchase Returns Book	Goods returned to suppliers (credit purchases returned)
Sales Day Book	Credit sales of goods
Sales Returns Book	Goods returned by customers
Bills Receivable Book	Bills of exchange received from debtors
Bills Payable Book	Bills of exchange accepted, payable to creditors
Journal Proper	All transactions that don't fit any other subsidiary book (e.g. opening entries, adjustments)

Advantages: division of labour, faster recording, easier control over each transaction category, reduced size of the main journal.

▾ Purchase Day Book and Purchase Returns Book

The Purchase Day Book records only **credit** purchases of goods meant for resale, from invoices received. The Purchase Returns Book (using a Debit Note issued to the supplier) records goods sent back.

Given: Goods purchased on credit from Raj Traders ₹8,000 (Invoice No. 45).
Required: Purchase Day Book entry.
Calculation: Entry recorded with Date, Supplier Name, Invoice No., Amount column ₹8,000.
Answer: Monthly total of the Purchase Day Book is posted to the debit of Purchases A/c in the ledger.

▾ Sales Day Book and Sales Returns Book

The Sales Day Book records only **credit** sales of goods. The Sales Returns Book (using a Credit Note issued to the customer) records goods received back from customers.

Given: Goods sold on credit to Anu Stores ₹5,000 (Invoice No. 12).
Required: Sales Day Book entry.
Calculation: Entry recorded with Date, Customer Name, Invoice No., Amount ₹5,000.
Answer: Monthly total of the Sales Day Book is posted to the credit of Sales A/c in the ledger.

Common mistake: students record cash sales in the Sales Day Book. Cash sales are entered in the Cash Book, never in the Sales Day Book.

▾ Debit Note, Credit Note, Bills Receivable/Payable, Journal Proper

Debit Note

Issued by a buyer to a supplier when goods are returned, "debiting" the supplier's account — reduces amount owed.

Credit Note

Issued by a seller to a customer when goods are received back, "crediting" the customer's account — reduces amount receivable.

Bills Receivable Book records bills of exchange the business holds (money due to be received). **Bills Payable Book** records bills the business has accepted (money it must pay). **Journal Proper** is used for entries that don't fit any subsidiary book — opening entries, closing entries, adjustment entries, rectification of errors, and transfer entries.

▾ Preparation of Ledgers from Day Books

At the end of the period, the **total** of each day book is posted once to the relevant nominal account, while each **individual** entry is posted to the personal account of the supplier/customer named.

Given: Purchase Day Book monthly total ₹45,000, of which ₹8,000 was from Raj Traders.
Required: Ledger postings.
Calculation: Purchases A/c Dr 45,000 (total). Raj Traders A/c credited 8,000 (individual).
Answer: Nominal account gets the periodic total; each personal account gets its own individual entry.

▾ **Display of Various Accounts and Day Books in Tally**

Recording Day Book Transactions via Vouchers

1. Create ledgers for each supplier/customer under "Sundry Creditors"/"Sundry Debtors" groups.
2. Use **F9 (Purchase)** voucher for credit purchases; **F8 (Sales)** voucher for credit sales.
3. Use **F7 (Journal)** with a Debit Note/Credit Note flag for returns.
4. View Gateway of Tally → Display More Reports → Day Book to see all entries chronologically.

Module III summary: subsidiary books exist purely for efficiency — the underlying double-entry rule never changes. Route each transaction to the correct book based on (a) is it credit? and (b) is it goods, returns, or a bill?

MODULE IV

Cash Book: Types, Preparation, and Tally Accounting

The Cash Book is both a subsidiary book and a ledger account for Cash and Bank in one — it records every cash and bank receipt and payment, including small day-to-day expenses handled through petty cash.

12 L + 8 P Hrs | CO4 | Remember → Apply

Learning Goals

Prepare simple, two-column, and three-column cash books; maintain petty cash under the imprest system.

Key Facts

The Cash Book always shows a Debit balance (cash cannot go negative) unless it is a Bank Overdraft column.

Professional Habit

Balance the Cash Book daily/weekly to physically tally cash-in-hand with the book balance.

▾ Cash Book — Meaning and Types

A **Cash Book** records all transactions involving receipt and payment of cash (and bank, where applicable). It serves as both a book of original entry and the Cash/Bank ledger account.

Types of Cash Book

Type	Columns
Simple (Single-column)	Cash only
Two-column	Cash + Discount, or Cash + Bank
Three-column	Cash + Bank + Discount
Petty Cash Book	Small, recurring expenses under the Imprest System

▾ Simple (Single-Column) Cash Book

Records only cash receipts (Debit side) and cash payments (Credit side) — functions exactly like a Cash ledger account.

Given: Opening cash ₹5,000; received from Anu ₹2,000; paid wages ₹1,200.
Required: Closing cash balance.
Calculation: 5,000 + 2,000 − 1,200 = 5,800.
Answer: Closing cash balance = ₹5,800.

▾ Two-Column and Three-Column Cash Book

The **Two-column** cash book adds a Discount column (or a Bank column) alongside Cash. The **Three-column** cash book has Cash, Bank, and Discount columns together — the most commonly used format in business.

Dr. (Receipts)			Cr. (Payments)		
Discount	Cash	Bank	Discount	Cash	Bank
50	2,000		30	1,200	

Three-column cash book: Discount, Cash, and Bank appear on both the Debit and Credit sides.

Given: Received ₹2,000 from a debtor, allowed him discount ₹50 (Cash side); Paid ₹1,200 by cheque, received discount ₹30 (Bank side).
Required: Record on both sides.
Calculation: Debit: Discount 50, Cash 2,000. Credit: Discount 30, Bank 1,200.
Answer: Discount columns are memorandum only — never balanced like Cash/Bank; only totalled and posted to Discount Allowed/Received accounts.

▾ Petty Cash Book — Imprest System and Analytical Petty Cash Book

Under the **Imprest System**, the petty cashier is given a fixed sum (the "imprest amount") at the start of a period. At the end, the main cashier reimburses exactly what was spent, restoring the float to the fixed imprest amount. The **Analytical Petty Cash Book** adds separate analysis columns (postage, stationery, conveyance, etc.) so each type of small expense can be totalled and posted together.

$$\textbf{Reimbursement Needed} = \textbf{Imprest Amount} - \textbf{Closing Balance}$$

Given: Imprest amount ₹1,000; expenses during week: Postage ₹120, Conveyance ₹200, Stationery ₹80.
Required: Closing balance and reimbursement.
Calculation: Total spent = 400. Closing balance = 1,000 − 400 = 600. Reimbursement = 1,000 − 600 = 400.
Answer: Petty cashier is reimbursed ₹400 to restore the imprest to ₹1,000.

🧮 Petty Cash Imprest Calculator

Enter the fixed imprest amount and total expenses for the period.

Imprest Amount (₹) e.g. 1000

Total Expenses (₹) e.g. 400

Enter values and click Calculate.

▾ Display Cash Book in Tally — F4, F5, F6 Vouchers

Recording via Vouchers

- **F6 Receipt** — for cash/bank receipts (e.g. from debtors).
- **F5 Payment** — for cash/bank payments (e.g. expenses, creditors).
- **F4 Contra** — for cash-to-bank or bank-to-cash transfers.

Enabling Discount and Viewing the Cash Book

1. Press **F11** (Company Features) → enable "Use discount column in invoices/vouchers" for the two-column format.
2. Gateway of Tally → Display More Reports → Cash/Bank Books → select the ledger (Cash or Bank) to view the cash book report.

Module IV summary: the cash book is the single most frequently used book in daily bookkeeping. Master the imprest formula and the three-column format — Tally simply automates the same additions and subtractions once vouchers are entered correctly.

FORMULA BANK

Every key formula in one place

Accounting Equation

Assets = Liabilities + Capital

Ledger Balance

Balance c/d = Total Dr − Total Cr (if Dr > Cr)

Trial Balance Check

Total Debit Balances = Total Credit Balances

Closing Cash

Opening Cash + Receipts − Payments

Petty Cash Reimbursement

Imprest Amount − Closing Balance

Personal A/c Rule

Debit the Receiver, Credit the Giver

Real A/c Rule

Debit what comes in, Credit what goes out

Nominal A/c Rule

Debit expenses/losses, Credit incomes/gains

DIAGRAM LIBRARY FOR RAPID REVISION

Jump straight to a diagram

Journal Entry Format

See in Module I →

T-Format Ledger Account

See in Module II →

Three-Column Cash Book

See in Module IV →

SUGGESTED STUDENT ACTIVITIES FOR SELF-LEARNING

Official self-learning activities (82.5 hours total, per source table)

Module I

Week 1 (5.5 hrs): Draw a simple flow chart of the accounting cycle and present it in class.

Week 2 (5.5 hrs): Take 5–10 transactions and identify each term used (e.g., "Bought goods for cash" → goods, purchases, cash).

Week 3 (5.5 hrs): Create an MCQ with answers on Accounting principles and conventions, or conduct an online quiz and record the performance.

Module II

Week 4 (5.5 hrs): Draw the format of the journal and ledger in chart paper, and present the same.

Week 5 (5.5 hrs): Journalise 5–10 business transactions and confirm the same with American rule and British rule of accounting.

Week 6 (5.5 hrs): Watch a video relating to all accounting vouchers in Tally and prepare a procedural note.

Week 7 (5.5 hrs): Take 5–10 business transactions and verify correctness by preparing a manual trial balance, or prepare for Lab Exam.

Module III

Week 8 (5.5 hrs): Journal Identification Worksheet — given 20 transactions, decide which subsidiary journal each belongs to and why.

Week 9 (5.5 hrs): Match types of transactions (cash purchase, cash sales, credit purchase, credit sale, return) with the correct subsidiary journal.

Week 10 (5.5 hrs): Flow Diagram Creation — show the life cycle of a bill from issue to settlement.

Week 11 (5.5 hrs): Watch a video and write the procedure for doing an experiment in Tally.

Module IV

Week 12 (5.5 hrs): Draw and submit the format of each type of cash book.

Week 13 (5.5 hrs): Watch a video and write the procedure for doing an experiment in Tally.

Week 14 (5.5 hrs): Error Detection Exercise — a wrongly prepared cash book is given; identify mistakes and correct entries.

Week 15 (5.5 hrs): Prepare for Lab Exam.

Total Self-Learning hours (as printed in the source activity table): 82.5.

ASSESSMENT METHODOLOGY AND EXAMINATION PATTERN

How you will be evaluated

Assessment Methodology — Practicum (as printed in the source PDF)

Mode	Attendance	CA1 (Self-learning avg.)	CE	CA2 (Practical test 1)	CA3 (Practical test 2)	CA4 (Series 1)	CA5 (Series 2)	ESE Written	ESE Lab
Duration	—	—	—	3 hrs	3 hrs	2 hrs	2 hrs	2.5 hrs	3 hrs
Exam Mark	—	15	50	40	40	50	50	60	40
Converted To	—	5	5	10	10	10	10	60	40

Practical CIE Scheme (Continuous Internal Evaluation) — 50 marks

- Record Work & Punctuality — 10
- Conceptual Understanding — 10
- Accuracy of Accounting Work — 5
- Tally Practical Skills — 10
- Viva Voce — 10
- Work Discipline & Professional Behaviour — 5

Practical Test Scheme — 40 marks

- Preparation/Procedure — 10
- Practical Execution (Accounting/Tally Work) — 10
- Accuracy of Work/Output — 8
- Viva Voce — 8

- Record — 4

Series Examination Pattern — Theory (2 hours, any two modules)

Series Test Question Distribution

Part	No. of Questions	Marks
Part A	2	1 each
Part B	3	3 each
Part C (with choice)	2	7 each
Total per series	7	**25**

End Semester Examination Pattern — Theory (2.5 hours, all 4 modules)

ESE Question Distribution

Module	Part A (2 Qns, 1 mark each)	Part B (2 of 3 Qns, 3 marks each)	Part C (1 set with choice, 7 marks)	Total
1	2	6	7	15
2	2	6	7	15
3	2	6	7	15
4	2	6	7	15
Total	8	24	28	**60**

MODULE-WISE QUESTIONS WITH ANSWERS

Practice questions

Module 1

Q. Define accounting and state its two limitations.

Accounting is the process of identifying, recording, classifying, summarising, and interpreting financial transactions of a business in money terms. Limitations: (1) it records only transactions measurable in money, ignoring qualitative factors like staff morale; (2) it relies on historical cost, which does not reflect current price-level changes.

Q. State the accounting equation and explain each term.

Assets = Liabilities + Capital. Assets are resources owned by the business; Liabilities are amounts owed to outsiders; Capital is the owner's investment. The equation must always balance because of the dual-aspect concept — every transaction affects two accounts equally.

Q. Explain the modern (American) rule for Asset and Liability accounts.

For Asset accounts: Debit records an increase, Credit records a decrease (e.g. buying furniture debits Furniture A/c). For Liability accounts: Credit records an increase, Debit records a decrease (e.g. taking a loan credits Loan A/c). This is opposite in direction because assets and liabilities sit on opposite sides of the accounting equation.

Module 2

Q. What is posting? How does it differ from journalising?

Posting is transferring debit and credit amounts from journal entries into the relevant individual ledger accounts. Journalising records the transaction chronologically as it happens in one combined book; posting reorganises that same data account-wise so each account's full history and balance can be seen together.

Q. Explain the Total Method and Balance Method of preparing a trial balance.

In the Total Method, both the debit-side total and credit-side total of every ledger account are listed in the trial balance, and the grand totals of both columns must agree. In the Balance Method, only the net closing balance (either Dr or Cr) of each ledger account is listed, and the sum of all Dr balances must equal the sum of all Cr balances. The Balance Method is more common in practice and is what Tally generates automatically.

Module 3

Q. Why are subsidiary books used instead of recording everything in the journal?

Subsidiary books group similar, high-volume, routine transactions (like credit purchases or credit sales) into a single dedicated book, allowing faster recording, division of work among staff, and posting of a single period total to the ledger instead of hundreds of individual journal entries.

Q. Distinguish between a Debit Note and a Credit Note with an example each.

A Debit Note is issued by a buyer to a supplier when goods purchased on credit are returned — it debits the supplier's account, reducing the amount owed (e.g. returning defective raw materials to a supplier). A Credit Note is issued by a seller to a customer when goods sold on credit are returned — it credits the customer's account, reducing the amount receivable (e.g. accepting back damaged goods from a customer).

Module 4

Q. Explain the Imprest System of petty cash with a numerical example.

Under the Imprest System, the petty cashier starts each period with a fixed sum (the imprest amount). At period end, actual expenses are totalled and the main cashier reimburses exactly that amount, restoring the float to the original fixed sum. Example: Imprest ₹1,000; expenses ₹400 during the week; closing balance ₹600; reimbursement given = ₹400, restoring the float back to ₹1,000 for the next period.

Q. Why do the Discount columns in a three-column cash book not get balanced like Cash and Bank?

The Discount columns are memorandum columns only, recording Discount Allowed (Dr side) and Discount Received (Cr side) as a convenience. They do not represent an actual cash/bank balance to carry forward — instead, each column is simply totalled and the total is posted once to the Discount Allowed A/c or Discount Received A/c in the ledger.

PRACTICE MODEL PAPER

Model Question Paper

This is a practice model paper based on the official ESE pattern described in this handbook's Assessment section. It is not an official SITTTR model question paper.

Part A — 8 × 1 mark = 8 marks (2 questions from each module)

1. Define accounting.
2. State the accounting equation.
3. What is posting?
4. What is a Trial Balance?
5. Name any two subsidiary books.
6. What is a Debit Note?
7. What is the Imprest System?
8. Name the columns of a three-column cash book.

Part B — 12 × 3 marks = 24 marks (2 of 3 from each module)

1. Explain the Business Entity and Going Concern concepts with examples.
2. State the modern rules for Nominal accounts with two examples.

3. Distinguish between Personal, Real, and Nominal accounts.
4. Explain the advantages and limitations of a trial balance.
5. Prepare a T-format ledger account for Cash given three sample transactions.
6. Explain the steps to create a ledger in Tally.
7. Distinguish between the Purchase Day Book and the Purchase Returns Book.
8. Explain the purpose of the Journal Proper with two examples of entries recorded in it.
9. Explain the steps to post a subsidiary book total to the ledger.
10. Distinguish between a Simple Cash Book and a Two-column Cash Book.
11. Explain the Analytical Petty Cash Book with a sample column layout.
12. Explain how the F4, F5, and F6 vouchers are used in Tally.

Part C — 4 sets × 7 marks = 28 marks (one set with choice from each module)

1. Journalise 8 given transactions and explain the rule applied to each. *(OR)* Explain GAAP concepts and conventions in detail with examples.
2. Prepare ledger accounts and a trial balance (Balance Method) from 8 given transactions. *(OR)* Explain the procedure to create a company and post a voucher entry in Tally.
3. Prepare a Purchase Day Book and post to the ledger from given transactions. *(OR)* Explain all subsidiary books with their purpose and format.
4. Prepare a three-column cash book from given transactions and balance it. *(OR)* Explain the Imprest System and prepare an Analytical Petty Cash Book from given expenses.

QUICK REVISION

Module-wise revision cards

Module I

Assets = Liabilities + Capital. Personal: Dr receiver, Cr giver. Real: Dr comes in, Cr goes out. Nominal: Dr expenses, Cr incomes.

Module II

Post → Balance → Trial Balance. Balance Method lists net Dr/Cr balances; totals must agree.

Module III

Only credit trading transactions go to day books. Debit Note = return to supplier; Credit Note = return from customer.

Module IV

Cash Book = book + ledger in one. Imprest Reimbursement = Fixed Amount − Closing Balance.

Common Mistakes Checklist

- Confusing Business Entity with Going Concern concept.
- Recording cash purchases/sales in the Purchase/Sales Day Book.
- Forgetting that Discount columns in the cash book are memorandum only, not balanced.
- Mixing up Debit Note (buyer → supplier) with Credit Note (seller → customer).

Exam Checklist

- Know both British and American rules — questions can ask for either.
- Practice at least 10 journal entries and 5 trial balances by hand.
- Memorise the CIE/ESE mark breakdown so time can be planned during exams.
- Revise the Tally keyboard shortcuts: Alt+K, Ctrl+A, Alt+D, F4–F9.

GLOSSARY

Key terms

Important Terms and One-line Meanings

Term	Meaning
Journal	Book of original entry recording transactions chronologically.
Ledger	Book of final entry containing all individual accounts.
Trial Balance	Statement proving that total debits equal total credits.
Subsidiary Book	Specialised book recording one type of recurring transaction.
Debit Note	Document issued by a buyer when returning goods to a supplier.
Credit Note	Document issued by a seller when accepting goods back from a customer.
Imprest System	Fixed-float method of managing petty cash with periodic reimbursement.
Voucher	Tally's data-entry document for a transaction (Payment, Receipt, Contra, etc.).
Narration	Brief explanation written below a journal entry.
Posting	Transferring a journal entry to the relevant ledger accounts.

REFERENCES

Textbooks, references and web resources

Text Books (official)

#	Title	Author	Publication
1	Double Entry Bookkeeping	T S Grewal	Sulthan Chand, New Delhi
2	Elements of Bookkeeping	M C K Nambiar	Kamalalayam, Kannur
3	Official guide to Financial Accounting — Tally ERP 9 with GST	Tally Education Private Limited	BPB Publications

Reference Books (official)

#	Title	Author	Publication
1	Financial Accounting	Dr S M Shukla	Sahitya Bhavan Publications
2	Financial Accounting	Bhushan Kumar Goyal	Taxmann's Publications
3	Tally. ERP 9 with GST	DT Editorial Services	Dreamtech Press Publications